



INDIAN CASE CHALLENGE 2026



CFA Institute®

PRE - CASE



INTRODUCTION

Ather Energy was an early entrant in India's electric two-wheeler market, differentiating itself through a focus on technology, performance, and connected features. This positioning helped the company gain traction in urban markets and influenced early consumer expectations around electric scooters.

As the market has evolved, Ather's early momentum is being tested by intense competition from fast-moving new entrants to legacy ICE two-wheeler giants, reshaping the market with their aggressive E2W push. At the same time, Ather is feeling the strain of rising financial pressure and increasing debt, adding another layer of challenge to its growth journey.

INDUSTRY ANALYSIS

MARKET SIZE AND GROWTH

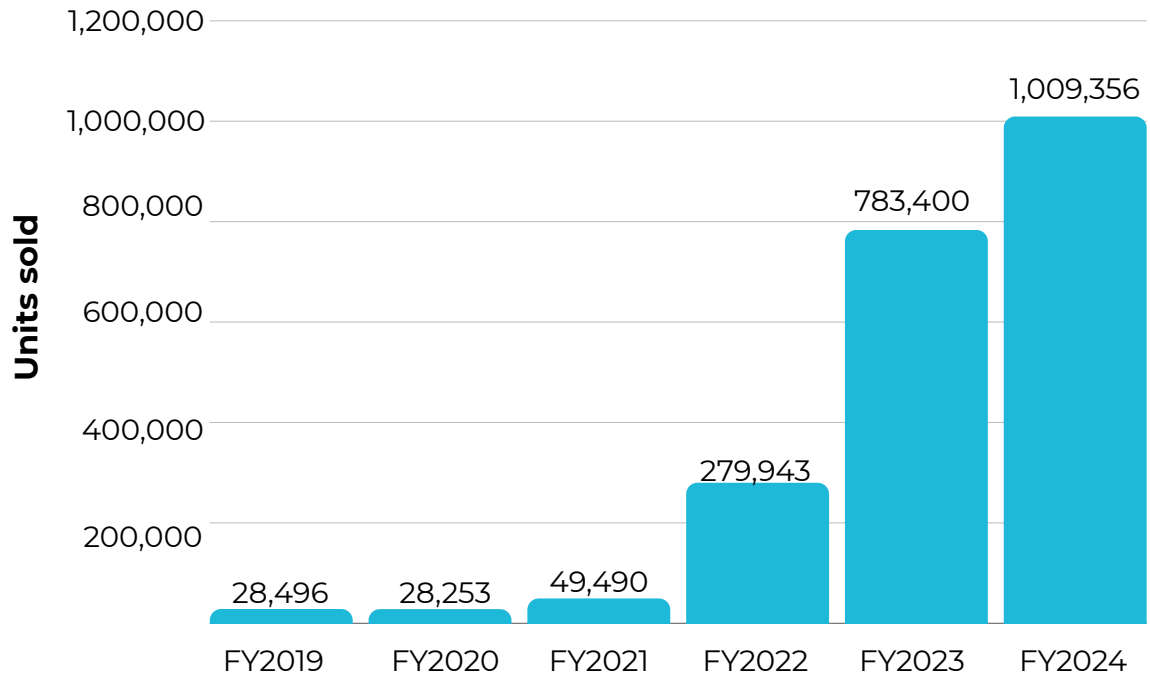
India's electric two-wheeler market is visibly picking up momentum, but it is still only at the beginning of a much larger shift. Between January and November 2025, about 1.18 million electric scooters were registered, indicating that EVs are now in strong competition with ICE 2-wheelers. However, it has a long way to go as the latter sells over 15 million units every year.

Early demand was concentrated in large cities, where buyers were more willing to try new technology and valued lower running costs. Over time, adoption has spread to smaller cities, driven largely by delivery riders and gig workers whose high daily usage makes the cost benefit evident. Their uptake has helped push EVs from a niche choice toward everyday transport.





Sales of E2W



DEMAND DRIVERS AND POLICY ENVIRONMENT

The main reason people are shifting toward EVs is the clear cost advantage. Charging with electricity is much cheaper than using petrol, and EVs require less maintenance. For riders who travel frequently, this results in significant monthly savings.

Concerns around pollution and traffic in urban areas have also influenced people to consider EVs as a cleaner and more convenient choice. Delivery platforms and quick commerce companies have added another push by encouraging their riders to use EVs, as it lowers their operating expenses.

Government policies have also supported this shift. Subsidies have helped reduce upfront prices and made EVs feel more accessible to regular buyers rather than only early adopters.

Together, these factors have given the electric two-wheeler industry a strong foundation for growth.



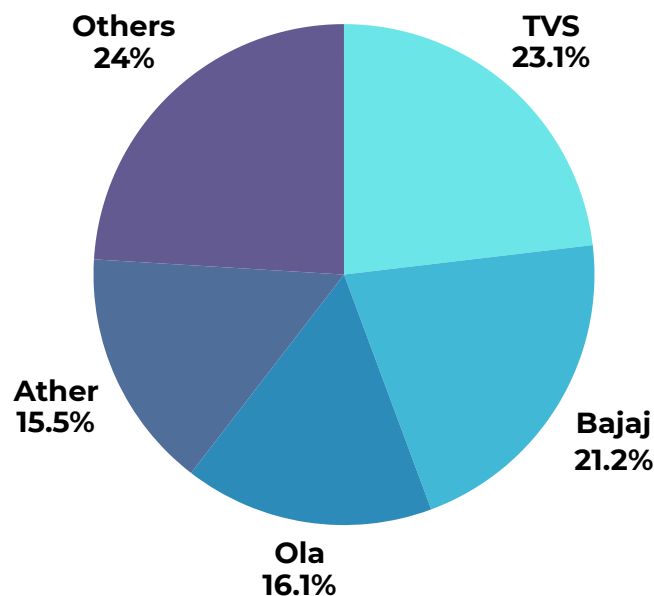


COMPETITIVE LANDSCAPE: FROM NICHE TO CONSOLIDATED

MARKET STRUCTURE

The Indian electric two-wheeler market has undergone a profound structural change in the past few years. What was once a fragmented market of startups has seen significant consolidation. As of the January to November 2025 period, the market is dominated by four key players who control 76% of the total amount of electric two-wheeler registrations.

Market Share (Jan '25 - Nov '25)



TVS MOTOR COMPANY

TVS Motors has emerged as the market leader with a 23.1% share (272,874 units), leveraging its century-old brand trust and massive distribution network. It entered the market through their now immensely popular and relatively economical E2W models: iQube, iQube S, iQube ST, and TVS X. It has partnered with Tata Power and Jio BP for charging infrastructure, supporting over 2,000 public chargers.





BAJAJ AUTO

Bajaj Auto follows closely with a 21.2% share (250,366 units), leveraging its manufacturing scale and supply chain expertise. It established its E2W subsidiary, Chetak Technology Limited (CTL), in 2021 and entered the market with a model sharing the same name.

OLA ELECTRIC MOBILITY LIMITED

Ola Electric, the first major pure-electric vehicle (EV) player in the market, has slipped from its position as market leader and now holds a 16.1% share (190,088 units), driven by price disruption. The company plans to climb back up the ladder with the support of its most lucrative initiative yet: the Ola Electric gigafactory. It seeks to further its vertical integration by manufacturing its own lithium-ion cells.

ATHER ENERGY

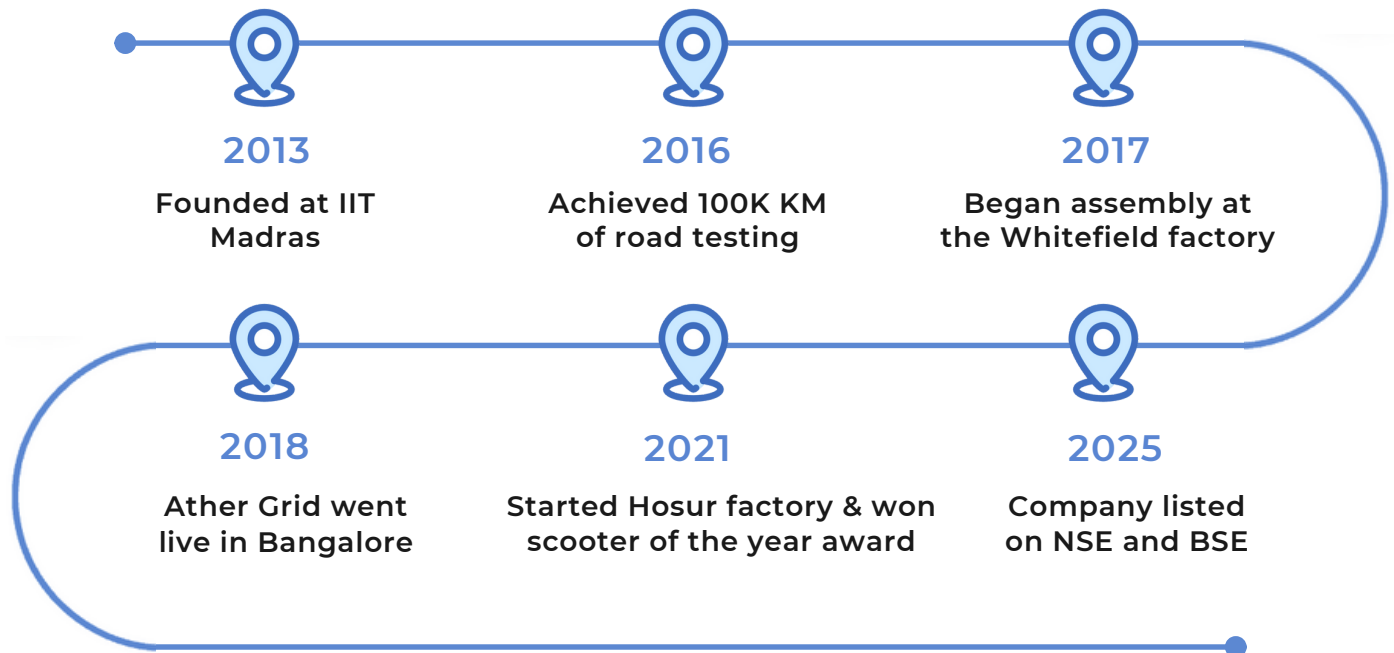
Ather Energy was founded on October 21, 2013, at IIT Madras by Tarun Mehta and Swapnil Jain, with the belief that electric mobility in India needed to be rethought from the ground up. Rather than simply replacing petrol engines with electric motors, the founders focused on building intelligent, connected, and high-performance scooters that consumers would choose for their superior experience, not just for subsidies or environmental reasons. This philosophy led Ather to reject low-power, utilitarian EVs and instead launch premium models like the 450 and 450X, which offered features such as strong acceleration, real-time range estimates, navigation, and touchscreen dashboards. Over time, this approach helped Ather build a strong brand among urban and tech-savvy buyers, and through its 450 series and the more mass-market Rizta, the company has grown to capture a 15.5% market share, translating to 183,163 units sold.

This consolidation leaves little room for smaller players and intensifies the competition for market share among the leaders.





ATHER'S EVOLUTION



MARKET TRENDS AND CHALLENGES

As Ather progressed in its journey, it always positioned itself as a customer-first company. Hence, it placed great emphasis on understanding the behaviour of its potential and current customers and understanding the market.

USER PREFERENCES AND BUYING BEHAVIOUR

India remains dominated by internal combustion engine (ICE) two-wheelers, which are favoured for their low upfront cost and established ecosystem. Converting buyers from ICE to EV requires overcoming significant barriers related to price sensitivity and infrastructure anxiety. While there is a small group of premium customers who care about technology and smart features, the majority of buyers are extremely value-conscious. For them, the total cost of ownership, day-to-day usability, and running costs matter far more than advanced features or performance upgrades.





POLICY SUPPORT AND GROWING INFRASTRUCTURE

Government support has played a big role in pushing EV adoption in India. The PM E-DRIVE Scheme for 2024–26, which replaced FAME II, continues to offer incentives for electric two-wheelers and has a total fund support of ₹1,772 crore. The Scheme envisages support of ₹2,000 crore for setting up adequate public charging infrastructure for various categories of vehicles to instil confidence amongst EV users, many of them meant specifically for electric two-wheelers and three-wheelers. In some cases, the government even covers the cost of upstream power infrastructure, which lowers entry barriers for charging operators. On top of this, many states offer additional benefits such as lower electricity tariffs for charging, exemptions from road tax and registration fees, and easier access to land for charging stations. New building rules that mandate charging points in residential and commercial spaces further support long-term EV adoption. All of this support in bettering the EV charging infrastructure of India aims to reduce user anxiety and, thus, hopefully boost EV adoption rates.

CHARGING UNCERTAINTY AND INSTABILITY

At the same time, the ecosystem is not without challenges. Changes and revisions to subsidy policies in the past have created uncertainty and caused fluctuations in demand, making it harder for companies to plan pricing and expansion. The charging landscape is also changing. Investments in shared and open charging networks by third-party providers are increasing, reducing the need for company-owned networks like Ather Grid. While proprietary charging once acted as a strong advantage, its importance is gradually declining as more public options become available.





This raises questions around whether continuing to invest heavily in exclusive charging infrastructure is the best use of capital, or whether those resources would be better spent on improving products, pricing, or partnerships.

Now, let us understand what makes Ather unique in this dynamic market.

CORE INTERNAL SYSTEMS

IN-HOUSE SYSTEMS

Ather's choice to deeply integrate its technology and build key systems in-house has shaped the company's identity from the beginning. By designing everything from its battery management system to its software, hardware, and charging network internally, Ather gained strong control over quality and user experience. But this approach also raised costs and added complexity, creating both the strengths and the pressures the company now faces.

BATTERY MANAGEMENT SYSTEMS

Ather has built its own battery management system, rather than relying on external suppliers. This enabled the company to gain a technological edge over its competition with its patented BMS technology, which also improved thermal efficiency, battery life, and torque generation.

PROPRIETARY VEHICLE TELEMATICS STACK

The company developed its own telematics layer to track performance, enable diagnostics and support connected-vehicle features. This delivery of real-time data helped differentiate Ather, though it increased software development complexity and expenses.





ATHER'S PROPRIETARY OPERATING SYSTEM (AtherStack)

Instead of using an existing OS, Ather built its own operating system, enabling seamless OTA updates, navigation, and new feature rollouts. This system keeps Ather's scooters feeling new over time, but also locks the company into continuously updating and supporting its own OS, an expensive long-term commitment.

DATA COLLECTION AND APPLICATIONS

Every ride generates hundreds of megabytes of data, including battery temperatures, charge cycles, speed patterns, braking behaviour, and real-time location traces. Over the years, the team has leveraged this stream of information to develop smart, connected features that work closely with the vehicle's hardware. Today, that data is primarily channelled into a few core use cases: predicting when parts will fail so that service teams can intervene early, optimising routes, and managing energy flow to help riders squeeze out more range.

This decision allowed Ather to maintain tight control over product quality and innovation, but also created a high-cost structure. The reliance on proprietary technology meant that Ather could not easily leverage off-the-shelf components to drive down costs. The commitment to in-house engineering still defines the brand today.

VALUE CHAIN

R&D AND MANUFACTURING

Ather's value chain was designed with the intention of creating products that deliver superior engineering and an enhanced ownership experience.





This emphasis on in-house development allowed Ather to maintain tight control over product quality and innovation.

The company's manufacturing operations were built around modern assembly lines designed to support precision engineering. Ather established proprietary factories in Tamil Nadu and later planned expansion in Maharashtra. These facilities required significant capital investment and operated with fixed overheads that demanded consistent production volumes to achieve efficiency. These factories played a crucial role in enabling Ather's growth, but also contributed to the high capital intensity that the company continues to manage.

SOURCING AND ATHER GRID

The sourcing process drew from both domestic and international partners who provided high-quality components for batteries, chargers, and power electronics. The company maintained stringent quality checks for every element that entered the vehicle. This focus on quality helped strengthen the brand's credibility but made cost optimisation more challenging during periods of financial strain. Additionally, the financial pressures faced by Ather extended to its suppliers. As the company expanded, it relied heavily on supplier credit and negotiated timelines to manage cash flow, placing strain on smaller component suppliers who often operated with tight margins.

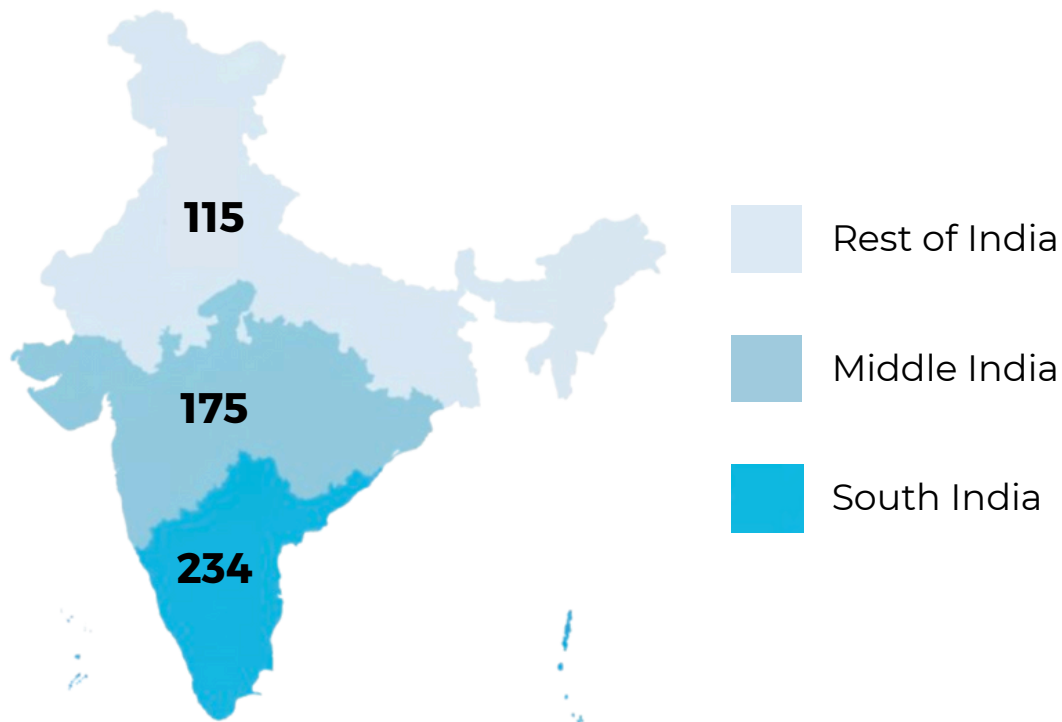
A critical component of Ather's operational model was the Ather Grid, the company's proprietary fast-charging infrastructure network. Currently, it possesses the capability to charge 15 kilometres worth of range in just 10 minutes. Initially positioned as a unique advantage to reduce range anxiety for early adopters, the Ather Grid required continuous investment in installation, electricity, and maintenance.





While it added value to the ownership experience, maintaining a proprietary network became a significant capital drain as the market evolved toward shared charging standards.

Distribution Of Experience Centers across India



DISTRIBUTION MODEL

Ather chose to move away from the traditional dealership route and instead built its sales strategy around “Experience Centres.” These spaces were meant to give customers a hands-on feel for the product, offering test rides, interactive demos, and integrated service support. While this approach helped reinforce Ather’s premium positioning, it also restricted reach in regions where conventional dealerships are still the norm. In practice, the model worked well for building the brand in large cities but turned out to be slower and more costly to scale when compared to the vast dealer networks that legacy two-wheeler players already have in place.





NON-VEHICLE SALES

In addition to selling electric scooters, Ather also generates revenue from EV-related accessories, spare parts, and merchandise. This includes items such as helmets, chargers, and other accessories. Until April 2023, portable chargers were also sold as stock-in-trade. After this date, they began selling chargers bundled with their E2Ws. This contributed to 3% of revenue from operations.

Ather Energy provides several services related to its scooters, most notably through its Pro Pack, which includes Atherstack features, three years of access to Ather Connect, and an extended battery warranty.

Continued subscriptions to Ather Connect and other after-sales services also contribute to their revenue. This segment accounts for 7% of revenue from operations.

RAPID GROWTH AND OWNERSHIP

CAPITAL HISTORY AND EXPANSION

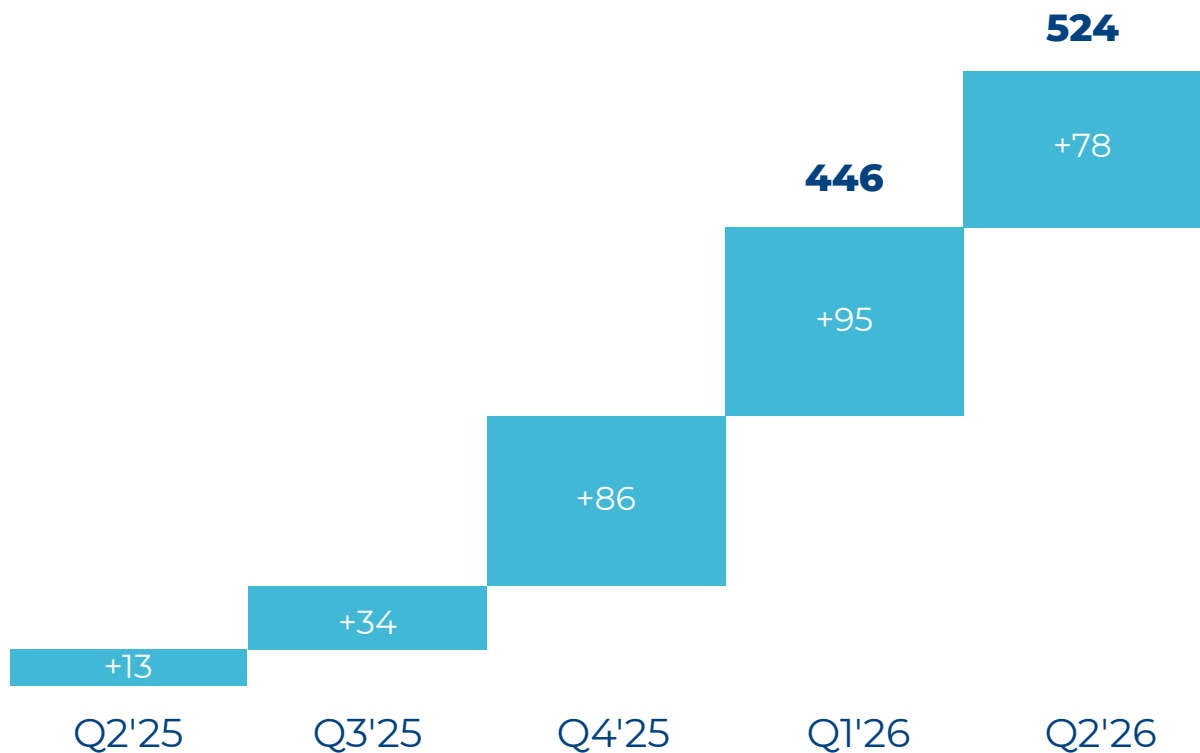
Ather started out small, with limited production capacity and a narrow geographic focus, concentrating largely on Bengaluru before slowly moving into other major cities. Strong early interest from customers and confidence from investors gave the company the push it needed to scale more aggressively. This was followed by Hero MotoCorp coming in as a strategic investor, eventually raising its stake to about 40.39% by March 2025. While this investment reinforced faith in Ather's technology and opened doors to manufacturing expertise, it also raised the bar in terms of expectations around disciplined and sustainable growth.





Over time, Ather evolved from being largely a South India-focused brand to a player with a national footprint. The company expanded its manufacturing capacity and increased its sales and service network across regions, solidifying its position in the electric two-wheeler market. As it grew, Ather's brand value also strengthened, becoming closely associated with thoughtful design, strong software integration, and a seamless, premium ownership experience.

Experience Centres Added



RISING STRAIN

However, the pace of growth created significant operational strain. Establishing a nationwide retail network required substantial capital investment. Building and expanding the Ather Grid charging network added another critical layer of capital demand. The company's manufacturing setup, driven by high standards and in-house development or assembly, carried substantial fixed costs.





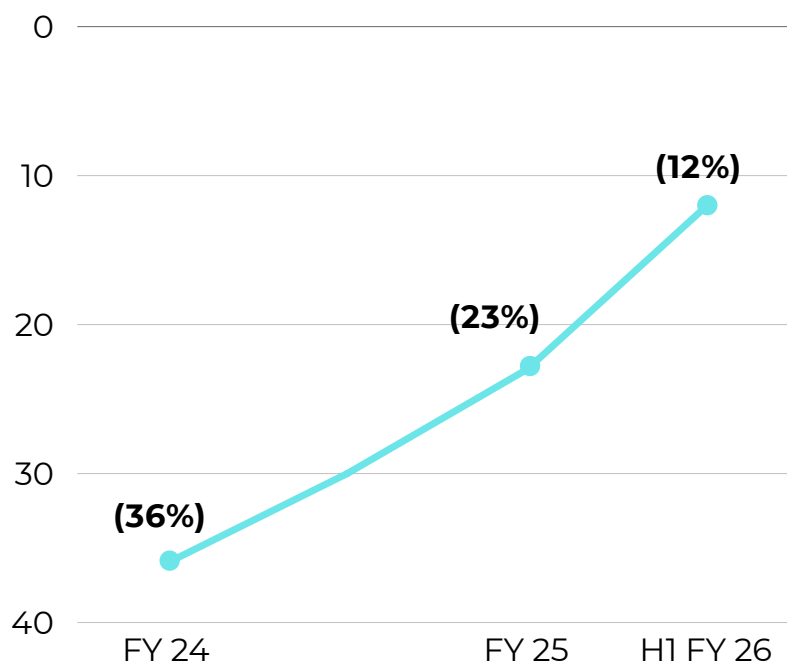
These decisions helped Ather differentiate itself but also made it more exposed to financial risks as market conditions shifted.

As volume growth failed to accelerate sufficiently to absorb these fixed costs, profitability deteriorated. The company accumulated historical losses year after year. Despite rising revenues, Ather struggled to generate positive cash flows and improve its working capital position. The "growth at all costs" phase successfully built a brand, but it is yet to prove itself to be a financially sustainable business model as it stands at the moment, setting the stage for the challenges that would emerge as the company prepared for public markets.

UNIT ECONOMICS AND BALANCE SHEET STRESS

Ather's average revenue per scooter remained strong, ranging from ₹137,000 to ₹143,500, indicating that the company can still command premium pricing despite increasing competition, but this strength at the product level hasn't eased the financial pressure.

EBITDA Margin





However, Ather continues to improve its margins year-on-year with steadily decreasing debt pressures and lower costs of development due to heavy initial investment in R&D.

Overall, Ather continues to attract customers and grow its sales, but it is burning cash to sustain that growth, and the path to break-even remains challenging.

THE IPO: A PUBLIC MARKET TEST (MAY 2025)

THE EVENT AND DISCLOSURE

Ather Energy went public on May 6, 2025, marking a pivotal moment in its history. The IPO pricing of ₹321 per share was finalised through an issue of 92,867,945 equity shares, raising a total of ₹2,980.76 crores in gross proceeds. Of this total, ₹2,626 crores represented fresh capital issued by the company. The IPO was presented as a natural continuation of the company's growth story, raising fresh capital and marking Ather's transition into a more transparent and accountable institution.

However, the IPO process also exposed the company to intense regulatory scrutiny and investor concerns. For the first time, public filings revealed the depth of Ather's financial challenges. The Red Herring Prospectus dated April 22, 2025, disclosed that the company had never achieved profitability since its inception. This admission, coupled with the high valuation sought, led to significant debate among analysts about the sustainability of the business model.





DEBT REALITY AND INVESTOR SENTIMENT

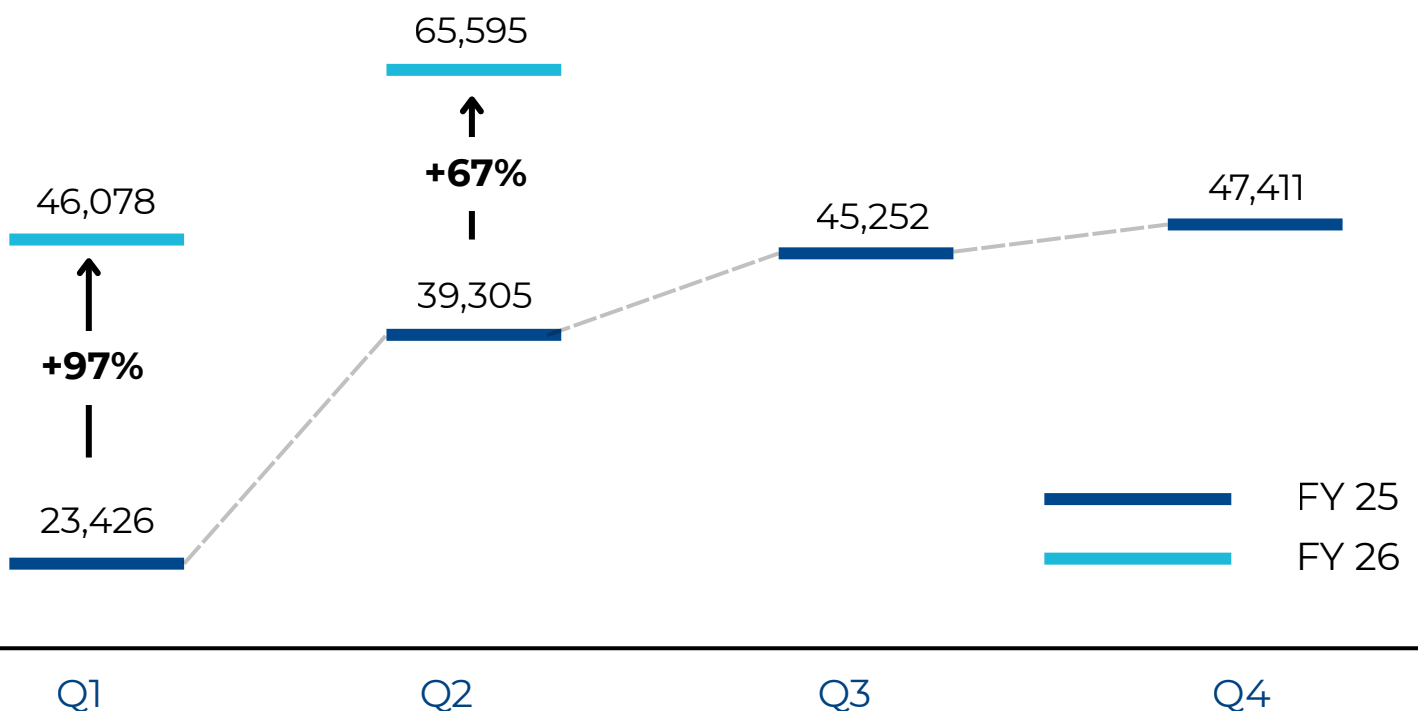
Ather carries a debt burden of ₹619.3 crores as of March 31, 2025, at a time when profitability is yet to be seen. Debt servicing pressures cash flow and limits strategic flexibility. The company has a highly negative interest coverage ratio, estimated at -6.34x. Refinancing risk looms as existing debt matures. The IPO proceeds allocated ₹40 crores to debt repayment to help the situation. Further proceeds from the IPO are planned to be invested in a new factory, expansion, and R&D, primarily according to their RHP.

FINANCIAL PERFORMANCE: THE PROFITABILITY PARADOX (Q2 FY26)

TOP-LINE SUCCESS VS. BOTTOM-LINE REALITY

In the quarter ended September 30, 2025 (Q2 FY26), Ather Energy reported its strongest quarterly performance to date.

Number of Units Sold





STRATEGIC OPPORTUNITY

THE SHIFT IN DEMAND

As EV economics improve, a new segment of demand is emerging. Last-mile logistics companies, e-commerce delivery platforms like Swiggy and Zomato, and quick-commerce players like Zepto are aggressively electrifying their fleets to reduce operating costs. Corporate fleets and government programs are also seeking sustainable mobility solutions.

THE BUSINESS PIVOT

Over the past few years, India has also seen a very different EV story play out through players like Yulu. What began as a shared, app-based micro-mobility service for urban commuters has steadily tilted toward serving gig workers and quick-commerce fleets through long-term rentals and subscription plans. A delivery executive can now get access to a Yulu DeX for days or weeks at a time on a fixed weekly or monthly subscription, with the battery-swapping, maintenance, and uptime worries handled by Yulu's own network and partners.

This model did not make Yulu a “traditional OEM”, but it did fundamentally change who the primary customer is: instead of selling a vehicle once to an individual, Yulu now earns recurring revenue from delivery riders and e-commerce platforms that care less about top speed and touchscreen dashboards and more about cost per kilometre, uptime, and predictable monthly outgo. The question for Ather is not whether it should copy Yulu, but whether it should stay anchored in its premium consumer identity or borrow some of these ideas as it thinks about fleets, subscriptions, and the rising power of the gig economy.





THE TRADE-OFF

This opens up a meaningful opportunity for Ather to rethink or broaden its target market. B2B sales can bring in large, repeat orders, more predictable demand, and steadier cash flows. At the same time, the trade-offs are hard to ignore. Businesses are far more price-sensitive as buyers, and usually care less about premium features, instead prioritising durability and basic functionality. Moving into this space could dilute the premium brand image Ather has carefully built over the years. Margins are also typically thinner, which means that without very tight operational control, this strategy could end up putting even more pressure on the company's path to profitability.

BUSINESS CHALLENGES: THE CORE ISSUES

CHALLENGE 1: REVENUE vs PROFIT

Ather Energy has never achieved profitability. The company continues to post substantial losses, despite volumes that suggest structural challenges in its business model.

Root causes include unresolved unit economics, where manufacturing costs, warranties, and support services consume gross margins, despite achieving 22% gross profit margins in Q2 FY26. The high fixed cost base of manufacturing facilities, Ather Grid charging networks, and distribution centres requires continuous spending. The debt burden requires ongoing interest servicing, straining the cash position. Substantial R&D and technology investment in software, telematics, and new platforms strains cash flow. And competitive market share wars continue to elevate customer acquisition costs.

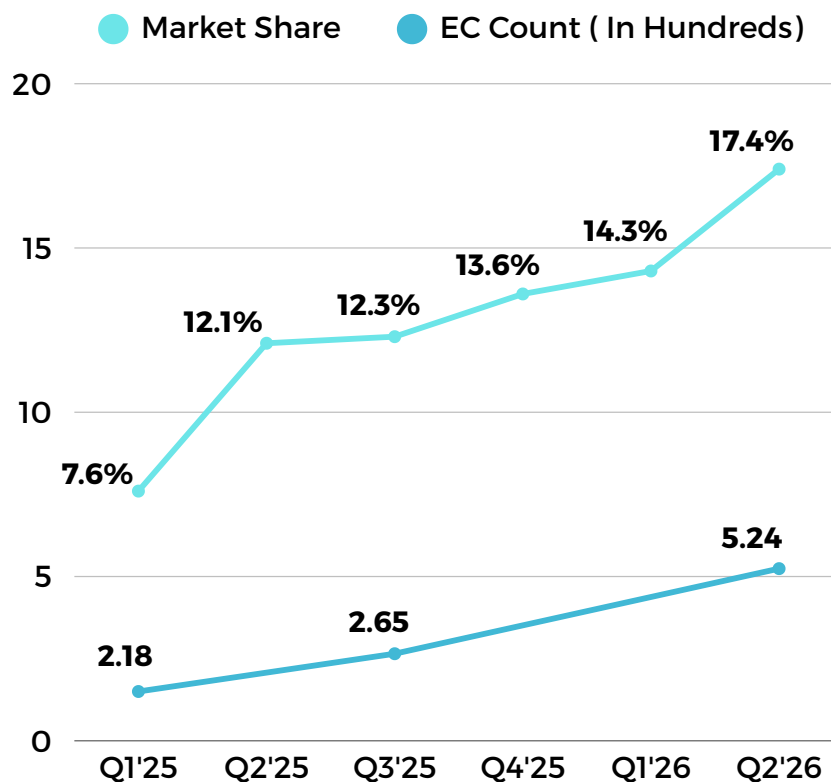


CHALLENGE 2: MARKET SHARE SATURATION

Despite leadership efforts and capital investment, Ather's market share growth has stabilised. The company's cumulative market share increased by only 2% from Q3 '25 to Q1 '26. This shows growth, albeit at a decelerating rate, as competition consolidates, which may be alarming for a growing company.

The top four players now control 76% of the market, leaving a limited growth runway for smaller competitors. To grow its share beyond 17-18%, Ather must either enter mass-market segments at risk of brand dilution, accept a market share ceiling of 15-20%, or pursue aggressive geographic and distribution expansion, which would require massive capital investment.

Increasing Market Share with Distribution Expansion





CHALLENGE 3: CAPITAL INTENSITY AND CASH BURN

Ather operates a highly capital-intensive business model. According to the IPO prospectus, the company had planned capital expenditure of ₹927.2 crores for the establishment of a new manufacturing facility in Maharashtra and related expansion initiatives.

Ather needs higher volumes to reduce unit costs and improve margins, but scaling volumes requires additional capex, which increases cash burn and delays profitability. At the same time, competitive pressures make both volume growth and price increases difficult. The negative working capital position as of March 31, 2025, further highlights ongoing liquidity stress.

CHALLENGE 4: IDENTITY CRISIS

Ather's initial competitive advantage, technology and software superiority, is eroding rapidly as legacy players catch up. The company risks becoming a "premium commodity" with diminished differentiation.

Feature parity has arrived across competitors. Charging infrastructure is no longer unique. Scale advantages have reversed, with legacy manufacturers' massive production volumes translating to better technology cost integration. Customer loyalty has declined, with younger buyers increasingly switching between brands based on price and features.

If Ather gives up its advanced in-house software and differentiated features, it is forced into price competition, where legacy players with lower costs have an edge, but maintaining a premium position keeps the addressable market limited and restricts growth.





YOUR CHALLENGE

SITUATION

You are a strategy consulting team engaged by Ather Energy's Board of Directors in December 2025, six months post-IPO and immediately following the announcement of Q2 FY26 results. The board recognises that the company stands at a critical strategic inflection point

Revenue growth remains impressive at 54% year-on-year in Q2 FY26 (Vs Q2 FY25). Market share gains have been significant at 17.4% in Q2 FY26. Yet, profitability remains elusive, with a net loss of ₹154.1 crore in Q2 FY26, despite a substantial revenue base.

Shareholder expectations for return on capital have risen post-IPO. Competition has intensified dramatically, with legacy manufacturers entering the market aggressively and leveraging superior distribution networks and cost structures.

Most critically, Ather's premium positioning, once a strength, increasingly constrains the addressable market in a market where price sensitivity dominates. The path forward is unclear, and strategic recalibration may be necessary.





QUESTIONS

1. How should Ather prioritise and sequence its capital allocation across capacity, deeper supply-chain integration, AtherStack Pro development, Ather Grid, scooter R&D, and expansion? What should be the ideal product mix for Ather across its various scooter models and accessories, to best match demand and maximise profitability?
2. Ather has historically focused on individual consumers and families, yet demand from last-mile delivery players and fleet operators is rising sharply. Should Ather shift more toward business customers through fleet-focused offerings and subscription models, similar to Yulu's move into quick commerce? Which segment offers Ather the stronger long-term opportunity: consumers or businesses? Within these, which specific demographics are most lucrative? Additionally, is it worth expanding to Central and North India, where their market share is lower, or should they focus on penetrating the market where they already have a strong foothold, i.e., South India?
3. Ather collects large volumes of real-time data from every scooter, which is currently used mainly for predictive maintenance, route optimisation, and energy flow management. How else can Ather use this data to meaningfully improve rider experience or reduce operational costs, and what practical steps would be required to implement such models using its existing hardware and cloud infrastructure? What strategies would you suggest to Ather, and how would you implement them?





RATING CRITERIA AND QUALIFICATION REQUIREMENTS

For both rounds, the team will be evaluated on the basis of the following criteria:

- Quality of Analysis
- Creativity
- Feasibility of the Solution
- The Overall Presentation of the case

NOTE

- Teams must submit their presentation by 11:59 PM, 2nd Jan, 2026.
- Submission should be in PPT format only (maximum 15 slides excluding the introduction, final slide, and Appendix) with an accompanying PDF copy of the same presentation.
- The solutions should be mailed to the email address iccsubmissions2026@bclub.co.in with attachments as PDF and PPTX.
- Any form of plagiarism will be heavily penalized
- The inclusion of an executive summary slide is mandatory.

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